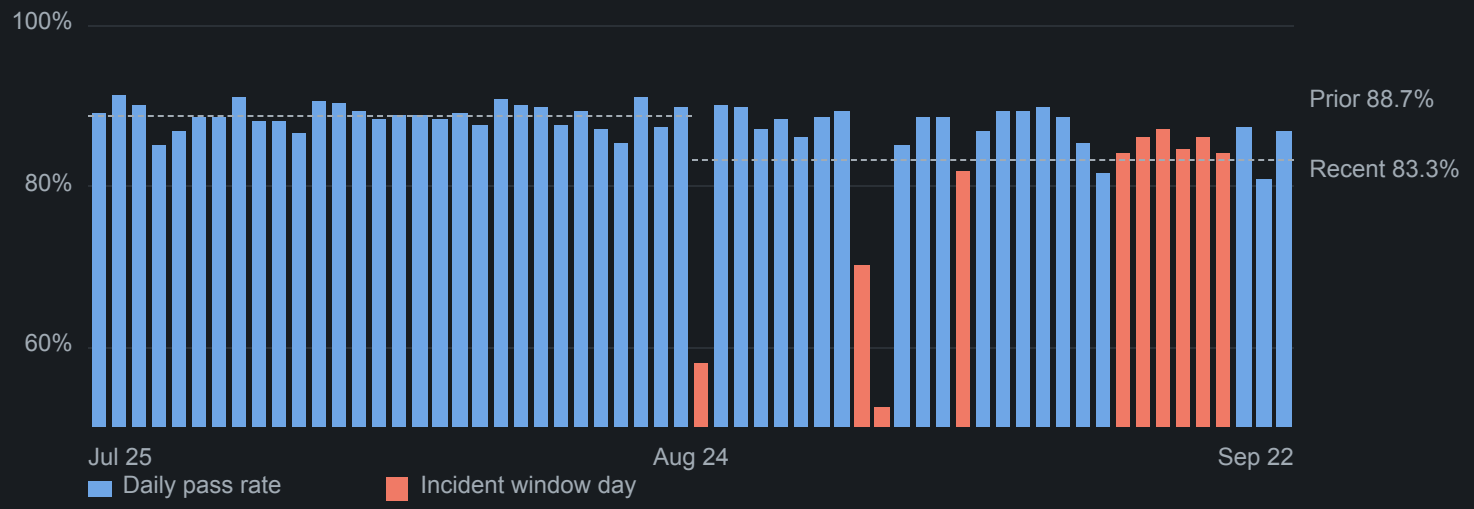
# KYC pass rate: why it fell and what to do

The KYC pass rate (approval among recorded decisions) fell from 88.7% to 83.3% between the two periods (−5.4 pp), or −2,945 approvals.

52,075 recorded decisions, one per user. Prior period: Jul 25 – Aug 23, 2023; recent period: Aug 24 – Sep 22, 2023. Aggregated data, no personal data. Vendor research dated Oct 13, 2026.

**Approval among recorded decisions, by day**




**In this deck**


1. The answer in seven points
2. What we can and cannot measure
3. Why the rate fell
4. Short incidents
5. Hypotheses and tests
6. The plan in four tracks
7. What we gain
8. Evidence appendix (A1–A11)


Pass rate change

**−5.4 pts**

88.7% → 83.3%, prior to recent 30 days

Approvals

**−12.3%**

2,945 fewer: 54% from fewer decisions, 46% from the lower rate

Short incidents

**≈1,057**

failures above baseline in four date windows; causes not confirmed

# The answer in seven points

| | | |
|---|---|---|
| 1 | What is measurable | Approval among recorded decisions, by day, document country and failed check. Not measurable: starts, completion, abandonment, retries, review outcomes, time to completion. |
| 2 | What changed | Pass rate 88.7% → 83.3% (−5.4 pp, 6.1% relative). Approvals 12.3% fewer (−2,945): 54% of that from fewer decisions, 46% from the lower rate. |
| 3 | Arithmetic drivers | Fraud signals −2.05 pp, execution errors −1.62 pp, selfie / liveness −0.95 pp, no document type −0.60 pp. Face match improved (+0.36 pp). |
| 4 | Still hypotheses | 1,057 failures (range 1,055–1,130) sit above baseline in four date windows. Fraud signals are not adjudicated; the execution errors are unattributed; vendor incidents on Sep 1 and 6 are documented, but impact on ARQ is not. |
| 5 | First (Phase 0, weeks 0–2) | Instrument the funnel and hold and retry execution errors. Alert per reason code. Reconcile control findings and adjudicate fraud samples. Diagnose Mexican "no document type" with the vendor. |
| 6 | Needed | Event schema with privacy sign-off; vendor case access and incident reports; Risk and Compliance time; one medium and several small engineering items (sizes to confirm). |
| 7 | Verification | Acceptance criteria per action; experiments on eventual approval per person within 7 days. Scenarios for repeated causes: +0.9 pp to +4.3 pp, not forecasts. Confirmed control gaps could cost up to 2.3 pp. |

# We can measure approval among recorded decisions, not the start-to-finish funnel

### Headline metric

Approval rate = approved (PASSED or APPROVED) ÷ recorded decisions.

Prior period 88.7%, recent 83.3%.

WARNING counts as not approved and not as a confirmed rejection. Its later review outcome is not in the data.

Each record is one user; the extract does not say whether it is a first, latest or final attempt, nor what event its date marks.

| Metric | Status | Prior | Recent |
|---|---|---|---|
| Approval rate among recorded decisions | **Available** | 88.7% | 83.3% |
| Unresolved warning rate | **Available** | 0.7% | 1.1% |
| Completion rate (start to terminal state) | **Unavailable** | — | — |
| Eventual approval within 7 days | **Unavailable** | — | — |
| Abandonment rate | **Unavailable** | — | — |
| Retry rate and retry approval | **Unavailable** | — | — |
| Manual-review outcomes | **Unavailable** | — | — |
| Time to completion | **Unavailable** | — | — |

### To measure the funnel, log

- kyc_started
- document_selected
- document_captured
- selfie_captured
- kyc_submitted
- vendor_result
- kyc_decided
- review_completed
- account_enabled

with person, session and attempt ids, timestamps and app/SDK version.

Do not read the approval rate as completion. People who never submit, and approvals after retry or review, are not visible here. Whether true completion is lower or higher cannot be determined from these extracts.

# Approval fell from 88.7% to 83.3%: 2,945 fewer approvals

**88.7% → 83.3%**

Approval among recorded decisions, prior → recent period (−5.4 pp)

**−2,945**

Approvals: −1,587 from fewer decisions at the prior rate, −1,358 from the lower rate

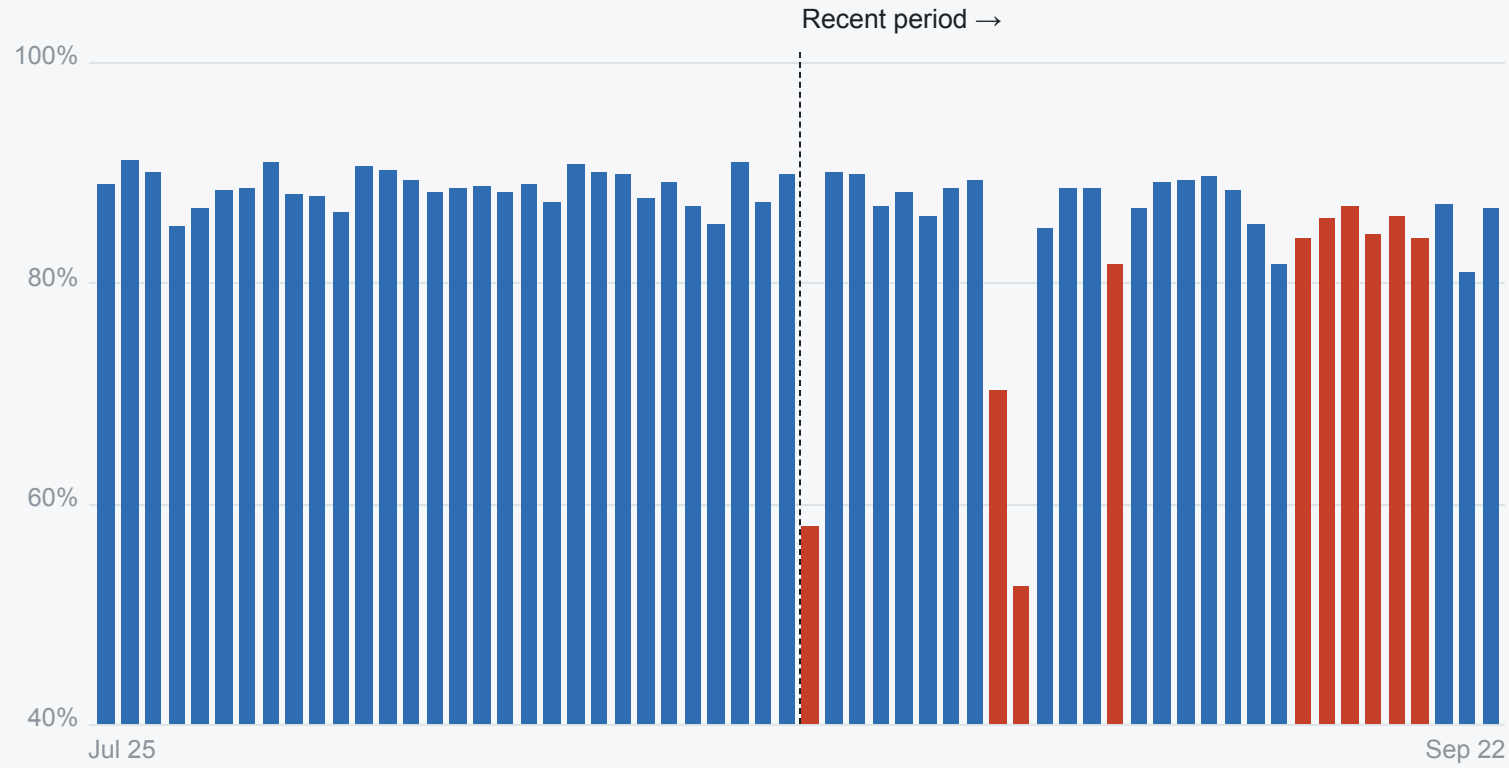
**78.8%**

Mexican documents (was 84.1%)

**89.1%**

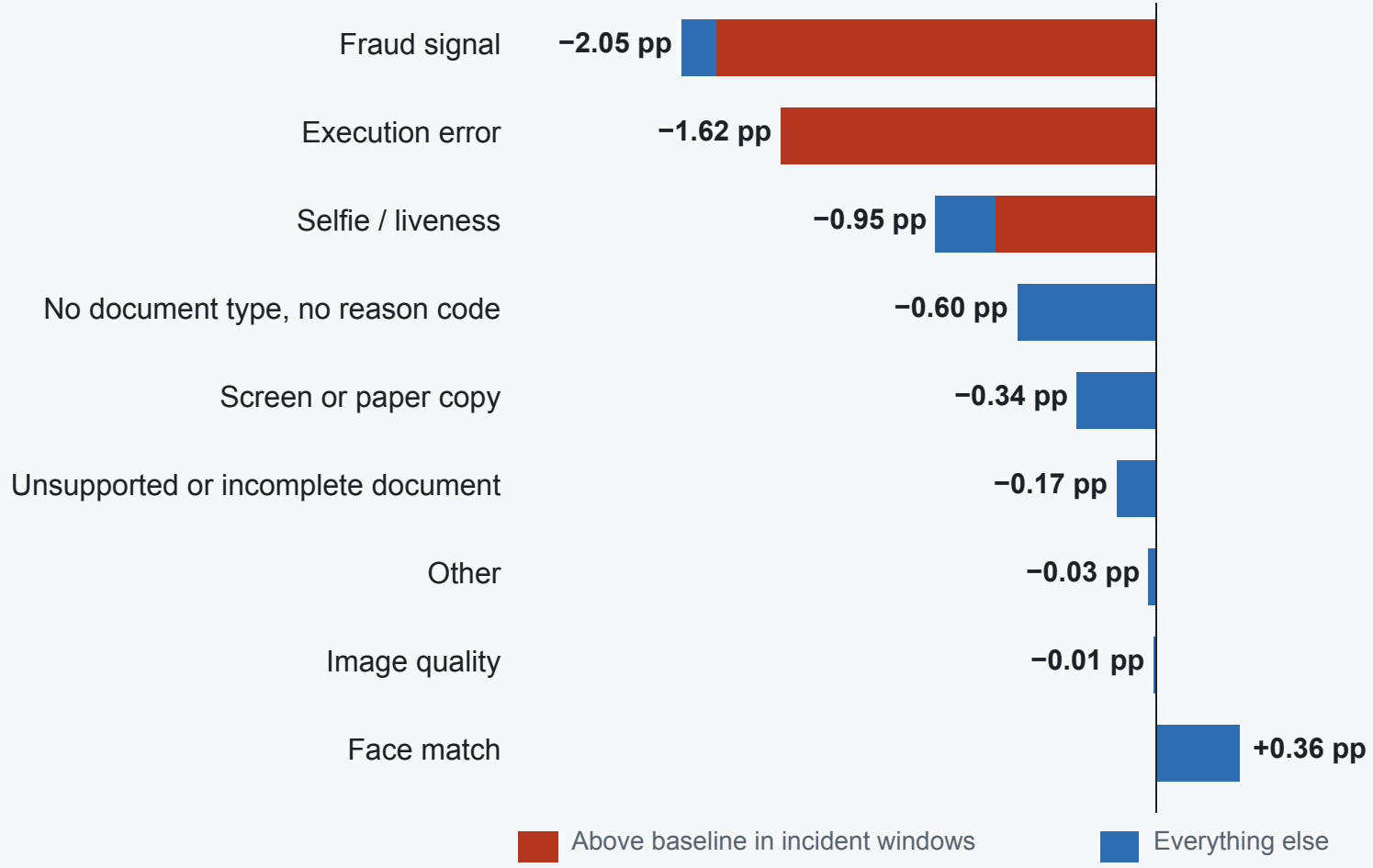
Argentine documents (was 94.9%)

Daily approval rate, all documents (red = incident window days)




Without the 10 incident days (red), the recent rate is 87.2%: −1.45 pp. Those days hold 38% of recent decisions, so they stay in. Mexican documents were 57.3% of decisions, then 56.8%. Columns start at 40%.

# Four reasons explain most of the change; face match improved but remains a large loss




**How to read the bars**

- Fraud signals: −1.90 pp of −2.05 pp sits in two windows.
- Execution errors: almost all of −1.62 pp is on Sep 1–2.
- Selfie / liveness: −0.69 pp on Sep 1 and 6, −0.26 pp elsewhere.
- No document type, no reason code: −0.60 pp, all outside the windows, so it is a slower, continuous shift (mostly Mexican documents).
- Face match: 2.77% → 2.41% of decisions. Not a cause of the drop, but a large loss from before the drop.

298 recent unsuccessful decisions had two or more failed checks. A primary reason prevents double counts. A fix for that reason does not by itself get the person approved.

# About 1,057 failures sit above baseline in four windows; causes are unconfirmed

| Window (2023) | Type | Observed | Expected | Above baseline | Of recent unsuccessful | Approval pts |
|---|---|---|---|---|---|---|
| 1. Argentina fraud-signal burst, Aug 24 | Suspected additional attack traffic | 376 | 2.9 | 373 | 8.9% | −1.48 pp |
| 2. Execution errors at usability, Sep 1–2 | Technical failure that affected applicants | 407 | 0.1 | 407 | 9.7% | −1.62 pp |
| 3. Liveness quality spike, Sep 1 and Sep 6 | Technical failure that affected applicants | 174 | 0.5 | 173 | 4.1% | −0.69 pp |
| 4. Mexico INE fraud-signal cluster, Sep 14–19 | Fraud-signal cluster without extra volume | 111 | 7.0 | 104 | 2.5% | −0.41 pp |
| **Total** | | | | **1,057** | **25.2%** | **−4.20 pp** |

### What we know and what we do not know

- Argentina, Aug 24: 660 decisions vs a typical 318; 373 of the flagged passed liveness. Suggests attack traffic; not adjudicated.
- Sep 1–2: usability TECHNICAL_ERROR, liveness passed in all 407, screening passed in 251. Vendor or ARQ integration: unknown.
- Mexico, Sep 14–19: INE flags without extra volume: fraud, a rule change or a new card version.

### Vendor status page (read Oct 13, 2026)

Liveness incidents on the vendor's US data centre: Sep 1 (15:38–16:42 and 18:07–22:44 UTC) and Sep 6 (10:00–17:22 UTC). No entry for Sep 2 or for the fraud-signal dates.

A documented vendor incident is not confirmation of impact on ARQ.

Without the 10 incident days the rate still fell −1.45 pp (88.7% → 87.2%); they hold 38% of recent decisions. Sensitivity range 1,055–1,130 across window, signature and baseline variants. Without the 1,068 failures that match the patterns, the rate is 86.99%. That is a descriptive rate, not performance without incidents.

# Six hypotheses, each with the step that would settle it

| | Hypothesis | Strongest alternative | Next step | Decision it enables |
|---|---|---|---|---|
| H1 | Execution errors on Sep 1–2 became rejections | Vendor fault vs ARQ integration or network | Pull ARQ logs and raw responses; vendor incident report | Fault owner; SLA question; hold-and-retry either way |
| H2 | Liveness failures on Sep 1 and 6 were a vendor fault | ARQ app or SDK release | Release log; vendor list of affected transactions | Escalate; test a retake policy |
| H3 | Aug 24 Argentina burst was coordinated fraud | Vendor false positives during a campaign | Adjudicate a sample; channel and device data | Pre-vendor velocity controls |
| H4 | Sep 14–19 INE flags reflect a vendor rule change | Quieter fraud; new INE card version | Sample review with the vendor; registry check | Review vs auto-decline for INE flags |
| H5 | Mexican "no document type" has several causes | Unsupported documents, capture, configuration, coverage | Review 100 cases with the vendor; config history | Picker vs configuration vs escalation |
| H6 | Face mismatches partly reflect old ID photos | Impostors; poor light on the selfie | Adjudicate NO_MATCH and NOT_POSSIBLE samples | Review queue or registry face check |

Data behind each: H1 407 TECHNICAL_ERROR rejections. H2 174 liveness quality failures on two days. H3 376 signals with doubled volume. H4 111 INE signals at normal volume. H5 no document type 11.3% → 14.2% of Mexican decisions. H6 face match 2.41% of recent decisions.

# The plan in four tracks: fix and measure, test, learn, build

| Track | P0 · Weeks 0–2 · Measure and stabilise | P1 · Weeks 2–6 · Test the main fixes | P2 · Weeks 6–13 · Scale what works | P3 · Next two quarters · Platform work (large) |
|---|---|---|---|---|
| **Fix and measure**<br>Obvious fixes and the instruments to see them work. Cheap, start now. | • Minimum funnel instrumentation<br>• Hold and retry on TECHNICAL_ERROR<br>• Daily, then hourly, alerts per reason code<br>• Reconcile the control findings<br>• Report the headline with its breakdown | ○ Velocity and device checks before the vendor call | ○ Invite recoverable applicants back | |
| **Test the fixes**<br>Hypotheses that are quick to try as experiments. | | ○ Test one guided retake on unclear selfies<br>○ Test accepted-document guidance in Mexico | ○ On-device capture quality checks<br>○ Pilot manual review of face-match warnings | |
| **Learn why**<br>Investigations and research that run beside the fixes. | • Adjudicate a sample of fraud signals<br>• Diagnose 'no document type' in Mexico<br>○ Confirm vendor incident scope | ○ Watch and ask people who failed the capture<br>○ Decide on the vendor: bake-off on a sample | | |
| **Build later**<br>Platform work that needs a quarter or more. | | | | ○ KYC orchestration and decision layer<br>○ Government registry checks (INE, RENAPER)<br>○ Second verification vendor for failover |

○ = conditional on a Phase 0 finding. Owners, evidence, acceptance criteria and guardrails per action are in the dashboard (What to do). Effort sizes are assumptions.

# Phase 0, weeks 0–2: measure and stabilise before we optimise

### Minimum funnel instrumentation

Data & Analytics · Measure · M

Done when: Events for 99% of sessions in a daily reconciliation against vendor transactions; dashboards show first cohort.

### Hold and retry on TECHNICAL_ERROR

Engineering · Onboarding platform · Remediate · S

Done when: Zero final rejections with TECHNICAL_ERROR over 4 weeks; 95% of held cases resolved within 24 hours.

### Daily, then hourly, alerts per reason code

Data & Analytics · Measure · S

Done when: On replay, alerts fire on the first day of every incident window. False alerts in the prior period stay under one a week.

### Reconcile the control findings

Compliance · Control · S

Done when: Every record classified (confirmed, explained, data error) with evidence.

### Adjudicate a sample of fraud signals

Risk & Fraud · Investigate · S

Done when: At least 50 cases per cluster adjudicated with documented rationale.

### Diagnose 'no document type' in Mexico

Product · Onboarding · Investigate · S

Done when: Each sampled case assigned a cause with vendor agreement.

### Confirm vendor incident scope

Vendor management · Investigate · S

Done when: Written vendor confirmation or denial per date.

### Report the headline with its breakdown

Data & Analytics · Measure · S

Done when: Weekly report adopted by the funnel review.

Effort sizes are assumptions (S ≤ 2 engineer-weeks, M = 2–6). Owners are role-based examples, not named people. Later phases: P1 weeks 2–6, P2 weeks 6–13, P3 the next two quarters.

# Recovery scenarios: +0.9 pp to +4.3 pp on repeated causes, not a forecast

**+0.9 pp**

Conservative: 233 approvals per 30 days; recent rate would be 84.2%

**+2.5 pp**

Central: 634 approvals per 30 days; recent rate would be 85.8%

**+4.3 pp**

Optimistic: 1,093 approvals per 30 days; recent rate would be 87.6%

**295**

Central: approvals protected per comparable incident (execution errors, liveness spikes)

**−580**

If all control findings are confirmed: approvals per 30 days that we may need to reverse (−2.3 pp)

**Recovered = observed population × eligibility × reach × return × remediation × subsequent approval**

| Population (recent period) | Observed | Central factors (E × R × Ret × Fix × Then) | Central | Range |
|---|---|---|---|---|
| Execution errors (Sep 1–2) (per incident) | 407 | 1.0 × 1.0 × 0.75 × 0.9 × 0.88 | 242 | 116–351 |
| Liveness quality failures on incident days (per incident) | 174 | 0.75 × 1.0 × 0.6 × 0.75 × 0.9 | 53 | 23–84 |
| Other selfie / liveness failures | 486 | 0.66 × 1.0 × 0.6 × 0.45 × 0.9 | 78 | 28–138 |
| Mexico: no document type or unsupported / incomplete document | 1,570 | 0.7 × 1.0 × 1.0 × 0.35 × 0.84 | 323 | 107–561 |
| Image quality and screen or paper copies | 333 | 0.85 × 1.0 × 1.0 × 0.45 × 0.85 | 108 | 48–162 |
| Face match: WARNING plus a share of NO_MATCH | 278 | 1.0 × 1.0 × 1.0 × 0.45 × 1.0 | 125 | 50–232 |

A target set from these scenarios is a goal, not a prediction. "Eligible" for selfie populations is the observed share with no other failed check. "Then" is the prior-period approval rate for the same countries, except review, where a reviewer approval is final.

# What we need, and how we will know it worked

**Decisions and resources**

- Approve Phase 0 and its owners.
- Privacy review of the event schema (Legal & Privacy).
- Vendor: case access, raw responses, incident reports for Sep 1, 2 and 6.
- Risk and Compliance time: fraud adjudication and control reconciliation.
- Engineering: instrumentation (M), hold-and-retry (S), alerts (S). Sizes to confirm.
- Finance: replace the value model’s market-based presets with ARQ unit economics.

**How success is verified**

- Zero final rejections with TECHNICAL_ERROR over 4 weeks.
- Alerts replayed on 2023 data fire on the first day of all four windows.
- Each control finding classified as confirmed, explained or data error.
- Experiments by person, outcome = eventual approval within 7 days. Mexico guidance: about 6,314 people per arm for +2 pp (stand-in baseline).
- Weekly: approval rate with fraud-signal, execution-error and warning shares beside it; completion once events exist.

# Four things to confirm with the team before we act

| | Question | Why it matters | What the answer changes |
|---|---|---|---|
| 1 | Does each row hold a user's first, latest or final KYC attempt, and does the date mark the submission or the vendor's decision? | The headline is approval among recorded decisions. If rows are latest attempts, we cannot see earlier failures and retries, and the first-pass rate is lower than shown. If rows are final decisions, the warnings can be out of date. | The metric definition (v2 to v3 in the registry), the retry hypotheses, and whether the bridge counts people or attempts. |
| 2 | Is there any record, even weekly counts, of people who opened KYC and never submitted? | The brief defines the pass rate as people who start and finish. Without starts, completion and abandonment cannot be measured, and the 1,587 fewer approvals from lower volume could be fewer starts, more abandonment, or both. | Whether Phase 0 instrumentation is a prerequisite or a check on current data; how we read the volume effect; the completion metric status. |
| 3 | What happens today after a TECHNICAL_ERROR or a liveness failure: does the user see the vendor's outcome, get a retake, or enter a review queue? | Hold-and-retry and the guided retake assume no retry exists. In the central scenario they recover 242 approvals per comparable execution-error incident and 78 per 30 days on steady liveness failures. | If a retry already exists, those recoverable counts shrink and the question becomes why retries fail; the Phase 0 hold-and-retry becomes a configuration check. |
| 4 | Which vendor product tier and data centre does ARQ use, and did ARQ receive incident notices for Sep 1, 2 and 6, 2023? | The vendor's status history shows liveness incidents on Sep 1 and 6 on its US data centre and nothing for Sep 2. The liveness spike is 173 failures above baseline and the execution errors 407. | On another data centre the liveness attribution loses its vendor evidence; with notices, the execution errors have an owner and an SLA claim. |

The analysis stands on the extract alone. These answers decide how far each conclusion carries, not whether the work was done.

# Appendix: evidence and method

A1 Definitions · A2 Validation · A3 Composition · A4 Mexico · A5 Incident sensitivity · A6 Experiments · A7–A8 Value model · A9 Operating model · A10 Control findings · A11 Vendor research

# A1 · Metric definitions: what is available and what needs new events

| Metric | Status | Definition and window | Gap or caveat |
|---|---|---|---|
| KYC starts | Unavailable | People who open the KYC flow. Window: daily, by country. | kyc_started with person id, session id, timestamp, country, app version, channel |
| Recorded decisions | Available | User records with a final decision in the extract (one per user_reference). Window: per period. | Whether a record is a first, latest or final attempt is not stated |
| Approval rate among recorded decisions | Available | Approved (PASSED or APPROVED) ÷ recorded decisions. The headline metric of this analysis. Window: per period, by decision date. | Not the start-to-finish completion rate: starts, abandonment and attempts are not in the data |
| Rejection rate | Available | REJECTED ÷ recorded decisions. Window: per period. | — |
| Unresolved warning rate | Available | WARNING ÷ recorded decisions. Later review outcome not in the extract. Window: per period. | Review dispositions needed |
| Completion rate (start to terminal state) | Unavailable | Starts that reach a terminal state (approved, finally rejected, or abandoned for 7 days) within 7 days of start. Window: 7 days after start. | kyc_started, step events, terminal decision, abandonment rule |
| Eventual approval within 7 days | Unavailable | Starts approved on any attempt within 7 days of the first start. Window: 7 days, cohort by start date. | Person id across attempts, attempt number, timestamps, review dispositions |
| Abandonment rate | Unavailable | Starts with no submission within 7 days. Window: 7 days. | kyc_started and kyc_submitted events |
| Retry rate and retry approval | Unavailable | Share of unsuccessful first attempts that retry, and their approval. Window: 7 days. | Attempt number per person |
| Manual-review outcomes | Unavailable | Approval and turnaround of cases sent to review. Window: per week. | Review queue events and dispositions |
| Time to completion | Unavailable | Median minutes from start to terminal decision. Window: per week. | Timestamps with time of day on start and decision |
| Execution-error rate | Available | Unsuccessful decisions whose primary reason is TECHNICAL_ERROR ÷ recorded decisions. Window: per period. | — |
| Fraud-signal rate | Available | Unsuccessful decisions whose primary reason is a manipulation or fake label ÷ recorded decisions. Not adjudicated. Window: per period. | Adjudication of a sample |

# A2 · Data validation and outcome treatment

| Check | Result | Status | Treatment |
|---|---|---|---|
| Records in each extract | 52,075 summary / 52,075 details | Pass | Equal row counts. |
| Unique user_reference | 52,075 / 52,075 | Pass | No duplicate users in either file. |
| Join coverage on user_reference | 52,075 matched, 0 + 0 unmatched | Pass | Complete one-to-one join. |
| Date coverage | 2023-07-25 to 2023-09-22: 60 of 60 calendar days | Pass | All days are present. |
| Timestamp precision | 52,075 of 52,075 at midnight UTC | Limitation | Dates only. Intraday outage windows cannot be matched to records, and the extract does not say which event the date marks (submission, decision or export). |
| Final outcome categories (summary.decision_type) | PASSED 44,825, REJECTED 6,772, WARNING 474, APPROVED 4 | Pass | PASSED and APPROVED = approved; REJECTED = rejected; WARNING = unresolved (not approved, not a confirmed rejection). |
| decision_type vs details.decision_label | PASSED vs REJECTED: 1; PASSED vs OK: 8 | Note | summary.decision_type is treated as the outcome. The 8 'OK' labels are label-only; 1 record shows PASSED in the summary but REJECTED in details. We count it as approved until it is reconciled. |
| Non-standard capability value 'PASSES' | 3 values | Note | Treated as PASSED. |
| Blank watchlist_screening_decision | 6,606 blank, 1 NOT_EXECUTED | Note | Shown as 'not recorded'. Mostly on rejected records; a blank field does not prove screening never ran elsewhere. |
| Blank data_type (no document type returned) | 3,781 records | Note | A symptom with several possible causes (unsupported document, capture, configuration, classification coverage). |
| Birth year extracted | 48,286 present, 3,789 blank; range 1909–2022 | Limitation | 3,769 of the 3,789 blanks are rejected records, so ages describe applicants whose document was read, not all applicants. Extreme years (e.g. 2022) suggest extraction errors. |
| Country field | MEX / ARG only (data_issuing_country) | Note | This is the country that issued the document. It is not always the residence or the account market. |
| Attempts per user | 1 record per user_reference | Limitation | The extract does not say whether a record is the first, latest or final attempt; retries and later outcomes are not visible. |
| Raw files unchanged | summary 67e4190909b7…, details e0762f377a41… | Pass | SHA-256 prefixes, recomputed on every build. |

# A3 · What the not-approved share is made of

| Group | Class | Prior | Recent | Of decisions, prior | Of decisions, recent | Of unsuccessful, recent |
|---|---|---|---|---|---|---|
| Execution error | Execution error | 1 | 407 | 0.00% | 1.62% | 9.7% |
| Fraud signal | Fraud signal (not adjudicated) | 88 | 598 | 0.33% | 2.38% | 14.2% |
| No document type, no reason code | Unexplained or identity mismatch | 945 | 1,034 | 3.51% | 4.11% | 24.6% |
| Unsupported or incomplete document | Capture or document issue | 528 | 536 | 1.96% | 2.13% | 12.8% |
| Image quality | Capture or document issue | 186 | 175 | 0.69% | 0.70% | 4.2% |
| Screen or paper copy | Capture or document issue | 78 | 158 | 0.29% | 0.63% | 3.8% |
| Selfie / liveness | Capture or document issue | 451 | 660 | 1.68% | 2.63% | 15.7% |
| Face match | Unexplained or identity mismatch | 747 | 606 | 2.77% | 2.41% | 14.4% |
| Other | Unexplained or identity mismatch | 21 | 27 | 0.08% | 0.11% | 0.6% |
| **Fraud signal (not adjudicated)** | Class total | 88 | 598 | 0.33% | 2.38% | 14.2% |
| **Execution error** | Class total | 1 | 407 | 0.00% | 1.62% | 9.7% |
| **Capture or document issue** | Class total | 1,243 | 1,529 | 4.61% | 6.08% | 36.4% |
| **Unexplained or identity mismatch** | Class total | 1,713 | 1,667 | 6.36% | 6.63% | 39.7% |

Not-approved share: 11.3% prior, 16.7% recent. 281 recent decisions are unresolved warnings, not confirmed rejections.

# A4 · Mexico: "no document type" is a symptom with several outcomes

| Outcome for Mexican decisions with no document type | Prior | Recent | Share, prior | Share, recent | Change |
|---|---|---|---|---|---|
| No reason code | 945 | 1,034 | 6.13% | 7.24% | +1.11 pp |
| Unsupported document type | 245 | 264 | 1.59% | 1.85% | +0.26 pp |
| Mandatory data not present | 203 | 204 | 1.32% | 1.43% | +0.11 pp |
| Page or part not present | 80 | 68 | 0.52% | 0.48% | −0.04 pp |
| Image quality | 186 | 175 | 1.21% | 1.23% | +0.02 pp |
| Screen or paper copy | 59 | 116 | 0.38% | 0.81% | +0.43 pp |
| Execution error | 1 | 96 | 0.01% | 0.67% | +0.67 pp |
| Selfie, face or other | 28 | 58 | 0.18% | 0.41% | +0.22 pp |
| Approved | 0 | 19 | 0.00% | 0.13% | +0.13 pp |

| Document type returned (Mexico) | Approval prior | Approval recent |
|---|---|---|
| Voter ID (INE) | 97.7% | 93.9% |
| National ID card | 91.0% | 87.0% |
| No document type returned | 0.0% | 0.9% |
| Passport | 97.8% | 95.6% |
| Residence permit | 97.6% | 94.6% |
| Driving licence | 97.0% | 92.5% |
| Other | 100.0% | 93.8% |

Argentine documents: 0 usability rejections or warnings in the extract; Mexican: 1,442. Possible causes include documents outside the accepted list, capture quality, a mismatch with the issuer country, configuration and vendor coverage.

# A5 · Incident attribution: sensitivity and vendor evidence

| Window | Base | Window ±1 day | Broader signature | Recent baseline | Old method (no baseline) |
|---|---|---|---|---|---|
| 1. Argentina fraud-signal burst | 373 | 378 | 372 | 371 | 376 |
| 2. Execution errors at usability | 407 | 407 | 454 | 407 | 407 |
| 3. Liveness quality spike | 173 | 174 | 171 | 174 | 174 |
| 4. Mexico INE fraud-signal cluster | 104 | 102 | 133 | 103 | 111 |
| **Total** | 1,057 | | | | 1,068 |

### How to read it

- Base: failures that match the window's pattern, minus the count expected at the prior-period rate for the window's volume.
- Range across the four baseline-based variants: 1,055–1,130.
- The old method counts every failure of the pattern on the day. That includes failures that also occur on normal days.

| Date | UTC | Vendor status page entry |
|---|---|---|
| 2023-09-01 | 15:38–16:42 | Liveness returned 'Unable to see your face properly' for all ID verification transactions. |
| 2023-09-01 | 18:07–22:44 | Same liveness message. Liveness restored 20:59; Authentication restored for new users only; resolved 22:44. |
| 2023-09-06 | 10:00–17:22 | Instability; workaround 11:25; liveness restored 16:21; resolved 17:22. |
| 2023-09-13 | 13:23–13:44 | Retry surge after a fix: V2 scans unavailable; Jumio Go customers possibly saw extra 'unsupported document' rejections; Hybrid delays. |
| 2023-09-01 / 09-02 | — | No status entry mentions usability, TECHNICAL_ERROR or skipped document checks, and none is listed for Sep 2. |
| 2023-08-24, 09-14 to 09-19 | — | No incidents listed for August 2023; only scheduled maintenance in Singapore during Sep 14–19. |

# A6 · Experiment and validation designs

| | Mexico document guidance | Guided liveness retake |
|---|---|---|
| Kind | Optimisation experiment | Optimisation experiment |
| Hypothesis | Pictures of the accepted documents, shown to Mexican applicants before capture, increase eventual approval. | One guided retake after BAD_QUALITY or FACE_NOT_FULLY_VISIBLE from liveness increases eventual approval and does not increase fraud. |
| Population | People who start KYC with a Mexican document. Exclude staff and test accounts, and people already approved. | People whose first liveness result is BAD_QUALITY or FACE_NOT_FULLY_VISIBLE and who have no fraud signal. Exclude ID_USED_AS_SELFIE and any manipulation label. |
| Assignment unit | Person (person_id), assigned at first kyc_started, sticky across attempts. | Person, assigned at the first eligible liveness failure, sticky. |
| Primary outcome | Eventual approval within 7 days of first start. | Eventual approval within 7 days of the failure. |
| Window | 7 days per person plus 7 days to mature the last cohort. | 7 days plus 7 days to mature. |
| Minimum effect | +2.0 pp on eventual approval. | +10 pp on eventual approval in the eligible group. |
| Sample | With the recent Mexican approval rate (78.8%) as a stand-in baseline, the sample is about 6,314 people per arm (95% confidence, 80% power). At about 476 Mexican decisions a day that is roughly 27 days at a 50/50 split. Recompute once start-based data exists. | If about 5% of the eligible group is approved later without a retake (not measurable yet), the sample is about 141 people per arm. At about 16 eligible people a day (recent non-incident rate) that is roughly 18 days. Needs the real baseline from instrumentation. |
| Guardrails | Start-to-submit rate, time to decision, fraud-signal rate, support contacts. | Fraud-signal rate and confirmed fraud among retake approvals, liveness spoof labels, vendor cost per approval, time to decision. |
| Rules | Start at 10% for 3 days to check events, then 50/50. Expand if the primary outcome improves by at least the minimum and guardrails hold. Roll back if start-to-submit falls more than 2 pp or fraud signals rise more than 0.5 pp. | Needs Risk sign-off before launch. Start 50/50. Roll back on any confirmed spoof or a fraud-signal rate among retake approvals above control. |

# A7 · Value model inputs: market-based presets, not ARQ figures

| Input | Low | Mid | High | Kind | Basis | Sources |
|---|---|---|---|---|---|---|
| Value per activated customer (USD) | $13 | $21 | $53 | Derived | ARQ press figures; Nu México revenue and margin | S4, S5, S8, S9 |
| Activation rate after approval (%) | 38.2% | 56.3% | 83.0% | Proxy | Liftoff LATAM and fintech activation; Nu activity rate | S6, S7 |
| Share of applicants from paid channels (%) | 29.0% | 40.0% | 50.0% | Proxy + assumption | Nu organic and word-of-mouth shares | S6 |
| Acquisition cost per paid applicant (USD) | $8.74 | $17.96 | $29.93 | Derived | Liftoff cost per install and per registration | S7 |
| Billable vendor transactions per decision (count) | 1 | 1.2 | 1.5 | Assumption | Assumption; replace with invoiced transactions ÷ decisions | S2 |
| Vendor cost per billable transaction (USD) | $1.44 | $1.85 | $3 | List price / estimate | Veriff and Sumsub list prices; Vendr estimate for Jumio | S1, S2, S3 |
| Cost per manual review (USD) | $0.83 | $5.72 | $10.79 | Derived | Mexico analyst salaries × time per case | S10, S11, S13, S14 |
| Implementation cost of the repeated-cause actions (USD) | $24,400 | $31,600 | $85,000 | Derived | Roadmap effort × Mexico engineering cost | S12, S13, S14 |
| Run cost per month (USD) | $510 | $2,010 | $3,860 | Derived | Review cases and retake vendor calls, central scenario | S1, S2, S3, S10, S11 |

Sources S1–S14: the dashboard (What we gain) gives each figure, period and link.

# A8 · Value model results by preset, central scenario

| Result (per 30 days unless stated) | Low | Mid | High | Cautious |
|---|---|---|---|---|
| Activated customers from recoverable approvals, per 30 days | 242 | 357 | 526 | 242 |
| First-year value of one 30-day cohort | $3,148 | $7,496 | $27,890 | $3,148 |
| Same, if every 30 days repeats for a year | $38,306 | $91,199 | $339,324 | $38,306 |
| Break-even first-year value per activated customer | $11 | $13 | $21 | $45 |
| Review cost per 30 days for the review-pilot population | $231 | $1,590 | $3,000 | $3,000 |
| Historical vendor spend on recent not-approved decisions | $6,049 | $9,326 | $18,905 | $6,049 |
| Vendor spend avoidable on suspected extra attack traffic | $492 | $759 | $1,539 | $492 |
| Historical paid acquisition spend on recent not-approved applicants | $10,648 | $30,180 | $62,868 | $10,648 |
| Pays back within the first year? (value per activated customer vs break-even) | Yes: $13 vs $11 | Yes: $21 vs $13 | Yes: $53 vs $21 | No: $13 vs $45 |

The first-year value of a cohort comes in over the next year. It is not revenue recognised in the next 12 months. Past vendor and paid-acquisition spend on not-approved applicants is already spent. Only a fix of the cause stops future spend.

# A9 · Operating model: owned metrics with versions, lineage and adoption

| Metric | Status | Owner (role) | Version | Lineage |
|---|---|---|---|---|
| Approval rate among recorded decisions | Available | Product · Onboarding | 2.0 | KYC_summary. decision_type |
| Completion rate (start to terminal state) | Unavailable | Product · Onboarding | 1.0 | Needs new events |
| Eventual approval within 7 days | Unavailable | Product · Onboarding | 1.0 | Needs new events |
| Manual-review outcomes | Unavailable | Operations · KYC review | 1.0 | Needs new events |
| Execution-error rate | Available | Engineering · Onboarding platform | 1.0 | KYC_summary. decision_type |
| Fraud-signal rate | Available | Risk & Fraud | 1.0 | KYC_summary. decision_type |

### Ownership rules

- One accountable owner per metric, effective-dated.
- Definition changes need owner and Data approval; old versions stay queryable.
- Past results stay attributed to the owner at the time.

### Adoption success measures

Share of KYC actions with an owner and a current status. Share of metrics with an approved definition. Time from alert to acknowledgement. Decisions in the review that cite the platform. Page views are not a success measure.

This analysis is version 2.0 of the headline metric: v1.0 called it "pass rate"; v2.0 renamed it and defined completion separately.

# A10 · Control findings in the extract: to reconcile, not confirmed failures

| Finding | Records | Other explanations | How to validate |
|---|---|---|---|
| Approved records with birth year 2006 or later | 1,223 | Extraction error; a policy that allows minors in some product; an approval record that never became an enabled account. | Compare with raw vendor responses and document images for a sample; check the age policy per country; check account state. |
| Approved records with no screening result in the extract | 86 | Screening ran in another system or a later step; field not exported. | Look up screening records for these users in the screening system; confirm whether an account was enabled. |
| Approved records with a watchlist WARNING | 69 | Warnings cleared in manual review that the extract does not show. | Retrieve review dispositions; confirm who cleared each case and when. |
| Outcome disagrees between the two files | 9 | A difference in the export field map. | Reconcile against the system of record. |
| Non-standard capability values | 3 | Manual edits or an export bug. | Fix at source; add schema checks to the extract. |

If an extracted birth year of 2006 or later is accurate, the person was under 18 during 2023. The applicable eligibility policy and the data quality both still need confirmation.

# A11 · Vendor research (Oct 13, 2026): availability is not effectiveness

| Capability | 2023 problem | Documented | Prerequisites | Not verified for ARQ |
|---|---|---|---|---|
| Classification | No document type returned | A separate capability that returns the document type, with UNSUPPORTED as one value. | None stated. | Whether ARQ's workflow already returns it. |
| Usability labels | Mandatory data not present; automation level | UNSUPPORTED_DOCUMENT_TYPE is a WARNING; MISSING_MANDATORY_DATAPOINTS 'will only happen for Jumio Go transactions'; TECHNICAL_ERROR is NOT_EXECUTED. | None stated. | Whether ARQ had manual review elsewhere in its own process. |
| Liveness labels and tiers | Liveness quality spike | BAD_QUALITY is a WARNING; FACE_NOT_FULLY_VISIBLE is REJECTED; Standard or Premium type. | Premium 'requires additional configuration for your tenant'; technology depends on the product purchased. | Which tier and labels ARQ receives. |
| Cross Transaction Risk | Fraud-signal clusters | Matches ID data, faces and image parts such as backgrounds across transactions; informational by default. | Jumio Support enables it on request. Press release of Apr 22, 2025 announced general availability. | Commercial terms; effect on ARQ's traffic. |
| Result retrieval and retries | Execution errors | After a callback, retry the retrieval from 40 seconds, with longer intervals each time, for at most 10 failures in a row. | None. | How ARQ handles TECHNICAL_ERROR today. |
| Mobile SDK capture features | No document type; capture quality | ML document and country classifier (4.9.0); unsupported-document check (4.11.0); virtual-camera injection detection (4.14.0); controls to limit manual capture (4.18.0). | SDK upgrade; configuration details for 4.18.0 controls not documented; gallery upload not documented. | ARQ's current SDK version and capture flow. |
| Mexico INE registry checks | INE fraud signals; face mismatch | INE Lista Nominal validates card fields. INE Data & Face Validation compares with INE records. | Data & Face needs a direct contract with INE, onboarding with FIMPE, dedicated middleware, about 4–5 days setup plus 2 days certification per client. | Cost, coverage and effect. |
| Argentina RENAPER data and biometric | Fraud signals; face mismatch | Data check and biometric (selfie vs registry) check. | PII fields need an updated data agreement (DPA) and are off by default; enabled by Jumio. | Cost and effect. |